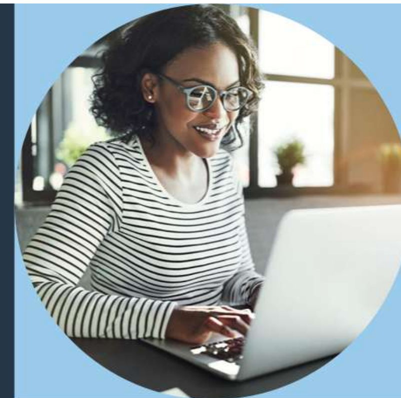
Engagement Platform Strategy Update

December 2024



Executive Summary

Reminder: Engagement Platform Strategy

- At our last session with the ELT in August, we aligned on pursuing our **engagement platform strategy**, moving WEX closer to our customers, enhancing stickiness, and expanding our value proposition
- Since August, we have: **(1)** committed CapEx to foundational building blocks (integrations and data platform), **(2)** developed core use cases for our data platform to serve and enable [ongoing], **(3)** built out key user journeys and initial synthetic user research [ongoing], **(4)** developed learning plan and are executing against deliverables, and **(5)** refined our GTM and monetization approach

Review Potential Paths to Achieving Engagement Platform Vision

- Our Ben Admin learnings indicate that a strong "anchor" product / platform is a critical enabler for gathering the data needed and the avenue to serve insights and recommendations that drive engagement and influence behavior (e.g., CDH upsell)
  - Other market participants (e.g., Businessolver, Voya) have realized similar benefits, as Ben Admin is their anchor for engagement and upsell, but their broader product portfolio enables more touchpoints / pitches for new business
  - An HCM platform can serve as an even stronger "anchor" product (esp. Payroll), which contributes to higher market growth, HCM (9-10%) vs. Ben Admin (5-7%)
- Summary of the financial and strategic trade-offs and implications of our paths forward:
  - Path 1 – **Organic-only:** potentially feasible, but may take prohibitively long to scale (and build)
  - Path 2 – **Depth:** Ben Admin acquisition; gain scale in Ben Admin with existing product set
  - Path 3 – **Breadth + Depth:** HCM acquisition, inclusive of Ben Admin; gain scale and expand product portfolio

Discuss Next Steps

- Continue "no regrets" build-out of foundation of our platform, in parallel to discovery work around actionable Ben Admin and/or HCM players that fit our profile

Our Ben Admin lessons learned inform our go-forward approach

Key Learnings from Benefit Express acquisition

A We entered the competitive segment of the Ben Admin market, and were slow to invest in brand, product, and sales

- Our platform is geared toward the large end of the market (>1,000 lives), which is more **fragmented and saturated than down-market**
- We lack brand recognition (esp. with employers), which is key for both demand generation and winning deals in up-market (our sales team has comprised fewer than 10 sellers since acquisition)

B Upsell works best when Ben Admin is the anchor product, and yields evidence we can influence employers + employees

- **Success in attaching products** (esp. COBRA + ACA) when Ben Admin is the anchor product (but difficult to upsell Ben Admin to our CDH customers)
- We now attach CDH to Ben Admin at 34% rate vs. 10% in 2021, **evidence we can influence employers to adopt our products**
- By owning the enrollment experience, we can drive **higher participation** (24% vs. 18% FSA) + **contributions than industry** ($2.1K vs. $1.5K for HSA)

C Invest in differentiation: personalization and engagement

- Capabilities like Consumer Pathways and claims decision support have improved our customer value proposition...
- ...but we lack the integrations and consolidated view of customer and employee data required for deeper personalization + engagement

Implications for our strategy

Prioritizing investment and monitoring for down-market- oriented asset

- Target asset geared toward down-market better aligns with CDH customers (+80% are <1,000) and unlocks **needed scale**
- **Recent investment** directed toward competitive features, streamlined operations for scale, and additional sales + brand / demand gen

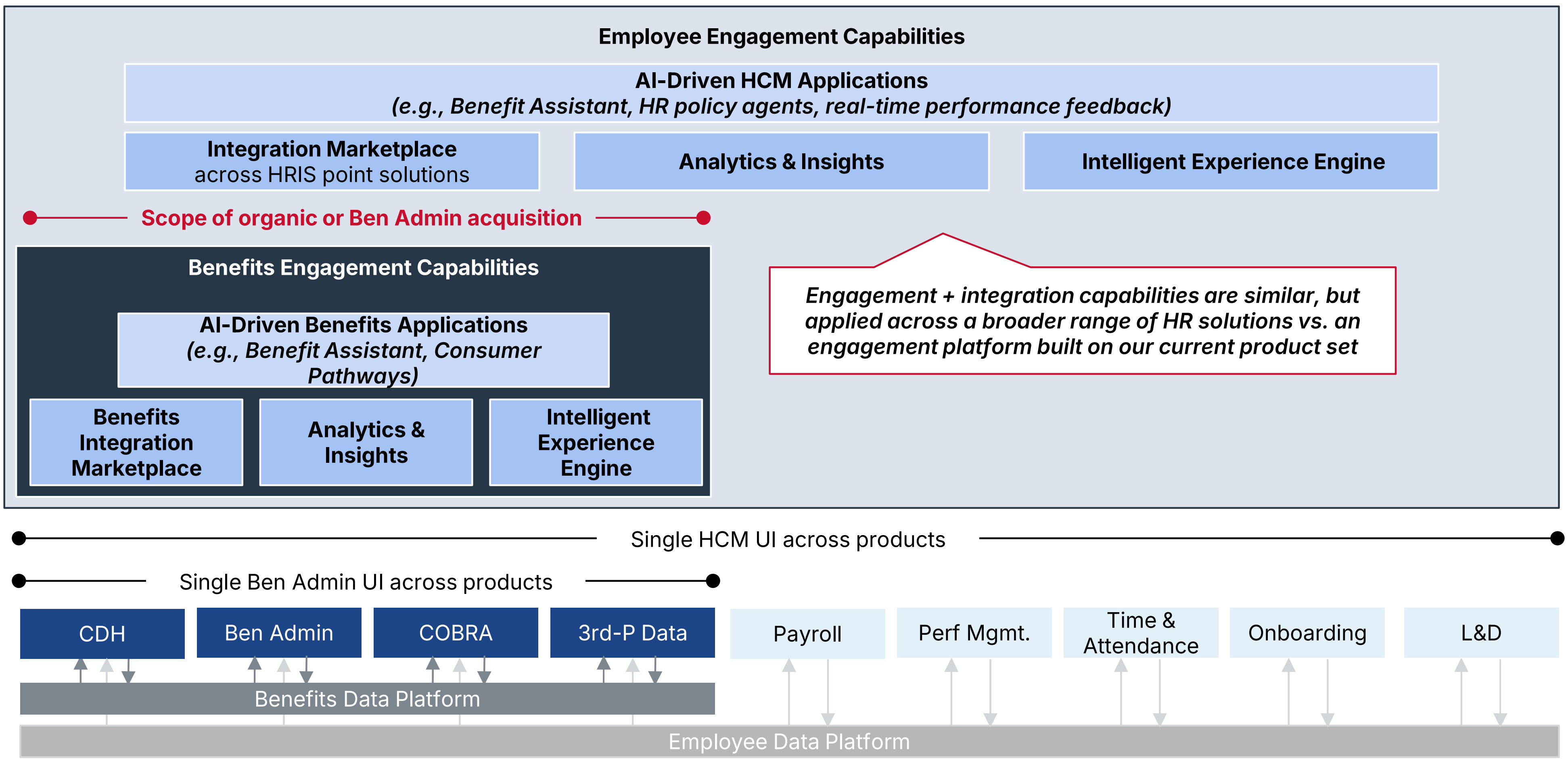
Focus on anchor product and build engagement within anchor platform

- Drive CDH attachment via Ben Admin and **personalized engagement methods** to continue to influence employer buying behavior and employee participation
- Engagement platform strategy expands our **ability to influence** via benchmarked analytics & personalized journeys

Robust data + integration needs could be met via platform acq.

- Ben Admin market is heading quickly in this direction (e.g., Bswift acquired Evive)...
- ...so speed to market is critical; optimal acquisition would accelerate our own builds of these capabilities

Scope of engagement platform is determined by whether we remain solely in Benefits or expand more broadly within HCM



To rectify these challenged areas, we propose pursuing a targeted M&A strategy that address our challenges

Key elements to enable our strategy	Organic challenge	Desired acq. target profile	Rationale
A **Considerable scale**	We are sub-scale (800k lives), and are ***extremely unlikely*** to **organically** achieve requisite customer base scale by 2029	Large customer base: ● ~10M+ lives on platform ● ***Bswift + Businessolver both boast >15M lives***	● Enhances our position as a sizeable distribution channel ● Attracts more 3rd party solutions + partners, in turn attracting employers
B **Ability to serve down-market**	Our platform **can't reliably serve down-market**, challenging to adapt for employers w/ <1,000 lives	● "Sweet spot" of employers with 100+ lives ● Able to serve up to 1,000 lives w/ automated processes	● Optimizes overlap with CDH/COBRA and better influence behavior (~85% <1,000 lives) ● Expands our addressable market via opening up less competitive segment
C **Data + integrations**	Challenging to deliver required capabilities in **<2-3 year timeline** to keep pace with / ahead of market	● 100+ 3rd party solutions connected to marketplace ● Developer portal with API library (10+ API endpoints)	● Accelerates our capabilities while we build in tandem ● Allows WEX to be at leading edge of fast-moving market

Targeted M&A can take two main forms: Ben Admin or HCM

While our strategy centers on Ben Admin or an HCM platform, our **ability and the timeline to achieve** our desired future-state and and the **market size / opportunity** depends on whether and what type of asset we acquire

1 Organic-only

- No acquisitions
- Growth driven by commercial, new product innovation
- Largely remain in our current core markets & core products (CDH/COBRA/Ben Admin)

2 Acquire Ben Admin player

Paths vary based on profile of player and our rationale for acquiring, for example:

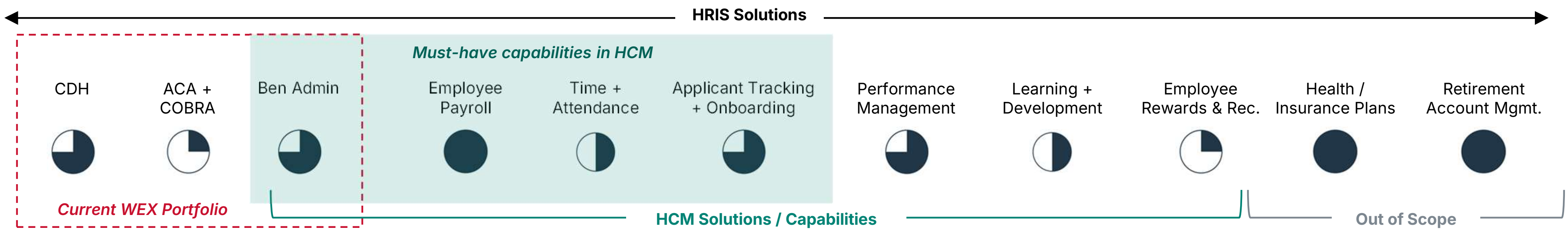
- Driving scale
- Gearing us toward new revenue pools in smaller end of market
- Accelerating capabilities req'd for engagement platform

3 Acquire HCM player

- Expand into previously-explored near-adjacency, unlocking new revenue pools
- Broadens strategy beyond benefits engagement to employee engagement; unlocking expanded use cases and products into our portfolio

Prioritized path forward

HCM Acquisition would expand our capabilities beyond Benefits into even stickier products and platforms (like Payroll)



Ben Admin serves as "anchor product" in current solution set

Engagement platform remains benefits-focused

Ben Admin is product on which other buying decisions (namely, CDH) are made

$13-14B in serviceable revenue

7-9% growth p.a.

HCM acquisition would make HCM the primary platform ("anchor product"), with Ben Admin as a ***component*** of the HCM offering

Engagement platform broadens to employee engagement (vs. just benefits), inclusive of engagement across the above

HCM (driven by Payroll) drives other buying decisions + add-on integrations

Payroll enables clear cross sell product into other WEX LOBs (Mobility, CP)

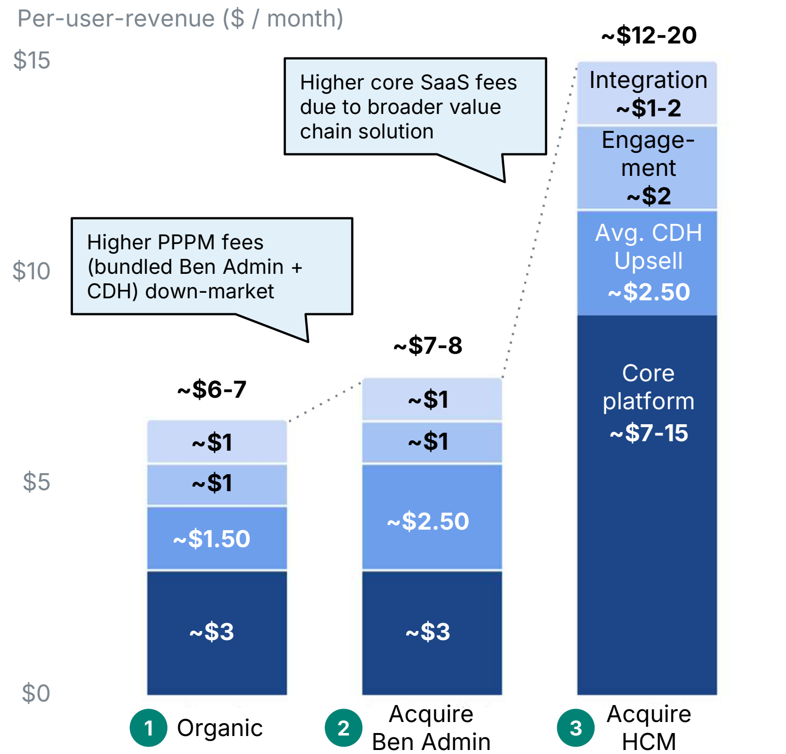
~$20B+ in serviceable revenue

9-10% growth p.a.

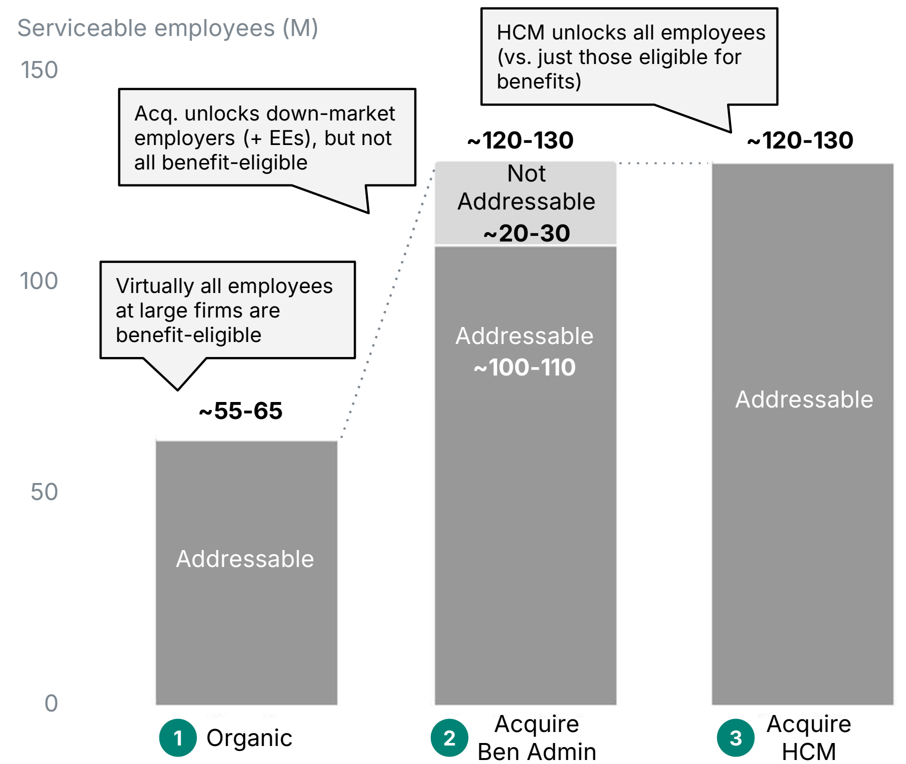
Large, saturated markets that are not a strategic fit for WEX to pursue

Our unit economics and addressable customer segments change depending on our selected path forward

WEX can better monetize current and future customers (benefit-eligible employees / participants)...

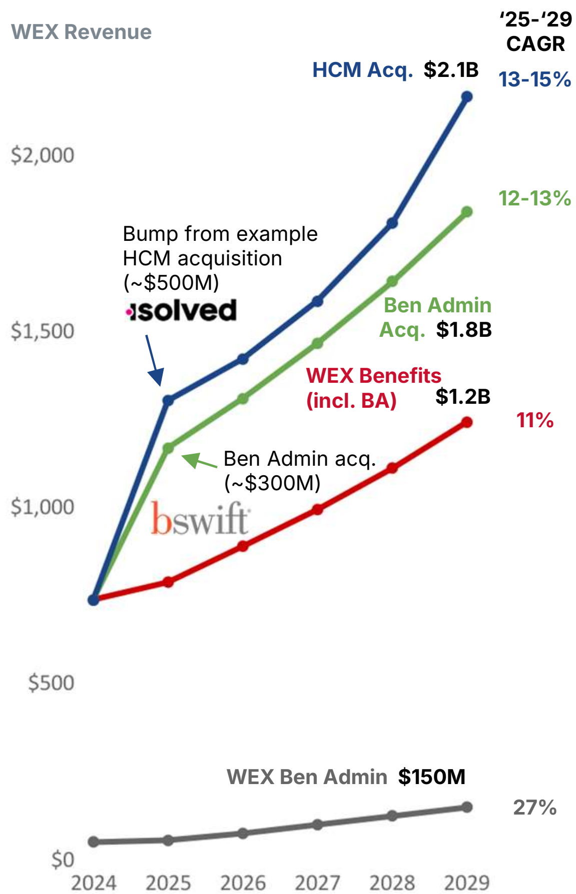


... and we can access a broader employer segment and employee population (active employees vs. benefit-eligible)



Note: Per-user-revenue figures do not include additional revenue opportunity from CDH non-bank custodian and interchange revenue streams

Acquisitions can incrementally improve our growth trajectory, but with strategic and margin considerations



3 HCM Acquisition

Upside:

- Enhances our stickiness via "one-stop-shop" value prop and allows us to engage + influence all employees
- Increases monetization via larger product portfolio and higher revenue per employer
- Improves top-line growth via faster-growing HCM market foundation and greater likelihood we can unlock additional engagement strategy revenue streams (vs. organic)

Risks:

- Expands us into areas of the value chain where we have less experience and understanding
- High acquisition price at 3-4 pct pt margin dilutive; could introduce more material channel conflict

2 Ben Admin Acquisition

Upside:

- Improves likelihood we achieve our engagement platform upside, by adding customer scale and engagement capabilities via acquisition
- Incrementally increases topline growth (and absolute value)
- Maintains our focus on areas we know comparatively well and have experience upselling CDH

Risks:

- Some Ben Admin challenges likely to persist, namely attrition to more holistic offerings
- Growth rate improvement is only marginal, esp. given high price point and 3-4 pct pt margin impact

1 Organic WEX Benefits (incl. Ben Admin)

Upside:

- No integration efforts needed and enables narrower focus for organization
- Lower cost option (does not include high-priced acquisition) w/ potential to maintain or grow our margin

Risks:

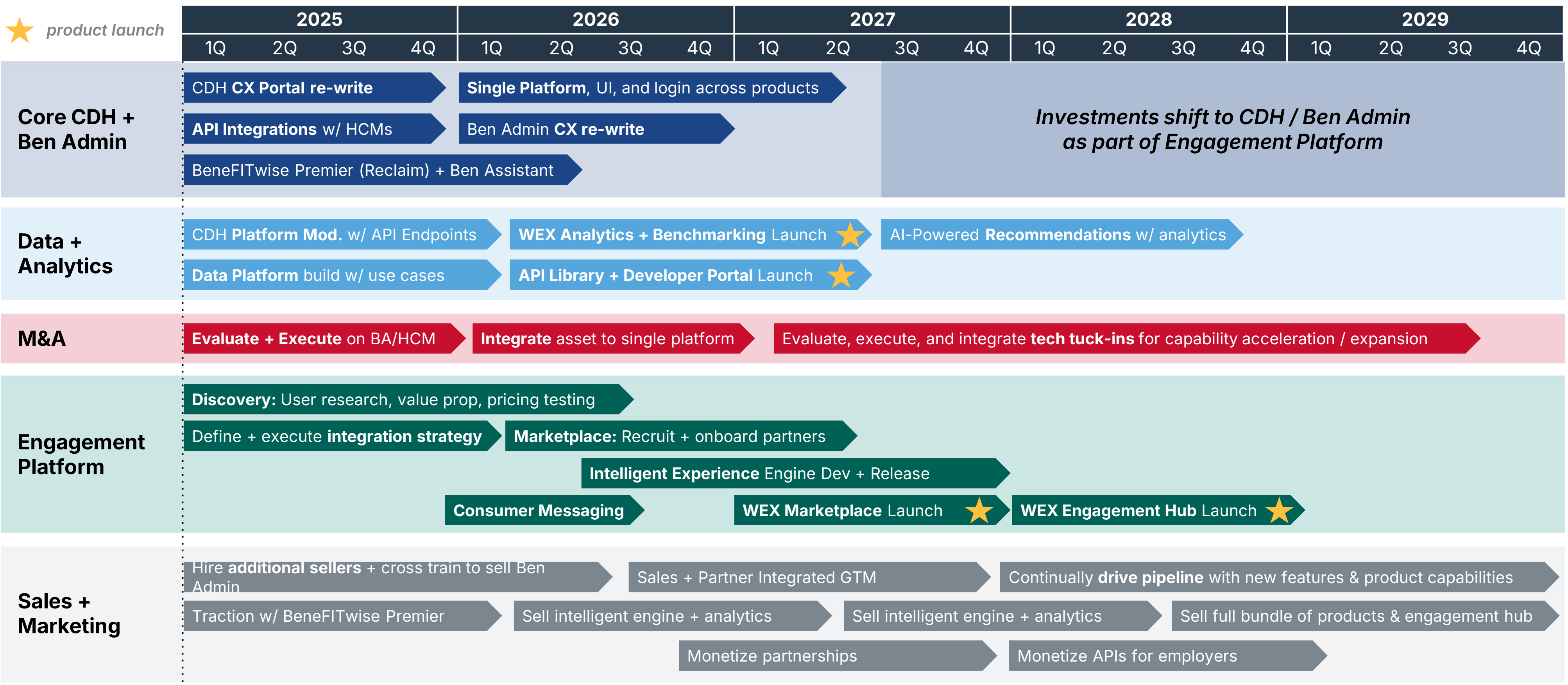
- Considerable risk we do not achieve scale + deliver capabilities needed for engagement platform
- As a result, potential to miss 11% growth rate target for this timeframe

Illustrative M&A targets across Ben Admin + HCM; further diligence required to determine degree of fit with desired profile

Primary targets	Summary metrics	Key criteria	Strategic Alignment	Considerations
businessolver *PE-owned (Stone Point + Warburg)*	Ben Admin + Engagement • $360M revenue • 38% EBITDA margin • 1,500 FTEs • Val: ~$4B (29x fwd EBITDA)	Scale Down-market Data + Integ.	• Pursuing engagement strategy, so data + integrations layer in-process • Prospect in CDH, expect ability to substantially upsell CDH	• Strength is primarily in up-market • Less sales motion / distribution overlap with WEX
PE-owned (Francisco) after Aetna spin-out	Ben Admin + Billing/Compl. • $300M revenue • 25% EBITDA margin • 1,000 FTEs • Val: $1.8-2B (13x fwd EBITDA)	Scale Down-market Data + Integ.	• Acquired Davis & Co in 2024 to improve comms + engagement (Evive) • Offer their own COBRA, but use WEX for HSAs + other CDH • Significant reseller channel	• Rebuilt org after Aetna spinout-, so just now re-emerging from stagnant • May be further behind on engagement journey than comps • Fewer capability synergies
deel. *Venture-backed (Andreessen, Spark)*	Global Payroll, HR, Ben Admin • $500M+ revenue • 4,500 FTEs • Val: $12B+*	Scale Down-market Data + Integ.	• New entrant into the space in 2019 • Fast-growing and gaining share, with focus on global reach • Significant automation across solutions	• Some customers may be too small • Could test our ability to serve outside of the US • Current valuation is price-prohibitive
isolved *PE-owned (Accel-KKR)*	Payroll, HR, and Ben Admin • $500M revenue • 1,000 FTEs • Val: $5B+	Scale Down-market Data + Integ.	• Robust AI-driven engagement capabilities today • Acquired TPA (Infinisource), $4M of WEX assets w/ them today • Significant re-seller channel	• Solution set may be broader than our priority list • Growth driven by organic (~10%) but also buying up UKG service bureaus

* Based on most recent post-money valuation (May 2022)

Time to market for new products impacted by amount of build required; M&A can accelerate our timeline (and bring req'd scale)



Next Steps

- Return to ELT in January with prioritized inorganic approach (Ben Admin vs. HCM)
- Incorporate ELT feedback and leverage for 1Q 2025 Board meeting deep-dive on Benefits strategy
- Proactive M&A activity refinement/HCM target exploration
- Execute on near-term build / partner capabilities
- Progress on learning + innovation plan

ELT 12/19 Followup

- Trends in our markets
- Competitor positioning and priorities
- WEX right-to-win

Where we see the market heading and implications for WEX path

Shifting trends…	…lead to evolutions in market…	…and inform what is required for WEX to win
Market **continues to consolidate** as employers look for "one-stop-shop" solutions for all their HRIS needs	Large players get larger: fewer players, each with larger product portfolio/market share and significant investment in both R&D and M&A (e.g., payroll -> full HCM, bundled products, M&A)	**Expand portfolio of products** beyond standalone CDH/COBRA into additional adjacencies
Seamlessly **connected data** via API and **fully embedded AI into platform capabilities** will be table stakes in buyer's decision	New iPaaS providers will continue to emerge (e.g., Finch, Merge) AI embedded in chatbots, application tracking systems, etc. Evolution of chatbots to 'AI agents'	Offer **best-in-class integration** capabilities and fully-embedded AI
Continued **new entrants** via niche start-ups and/or established, expanding providers	Start-ups across areas like recruitment, assessments, rewards, and wellness gain steam and/or are acquired International players expand into US	Aggressive R&D ensuring **product features compete with new entrants** Consider further M&A for niche 'tech tuck-ins' into our portfolio as additional SKUs and/or key features
Generational workforce **expects digital experiences** similar to retail or simply installing an app	Recommended products, push notifications in the form of insights, reviews, data sharing become norm Remote workers seeking communication, culture, connection we can facilitate through personalized experiences	Hyper focus on consumer experience; leverage data and AI to engage with consumers in **ways they are familiar** with (e.g., Amazon, app store)

WEX has a right-to-win with this strategy, esp. since this is a space that has yet to be “cracked” (though some are trying)

Why does WEX have a right-to-win in the “engagement platform” world?

1 Multi Channel Distribution

- Differentiated reach via breadth and quality of partner, broker, and re-seller relationships
- Engagement Platform offers ways for our distribution partners / customers to differentiate themselves for a personalized employee experience that attracts and retains their talent

2 Proprietary Tech Stack + Ongoing Capital

- Full control of the technology, investment & roadmap to co-creator with the market, cutting-edge innovation
- Offer our own Ben Admin + CDH vs. needing to partner to provide like many competitors (with HCM acq., we would own full suite vs. building integrations to other point solutions)

3 Foundational Engagement Capabilities + Well Positioned for Cross Sell

- Early signs we can influence behavior with foundational features; able to further upsell existing benefits customer base with products & features aligned with mid-market target
- Fleet and CP Direct customers most ripe for cross-sell with HCM given the vertical specialization (transportation vertical for payroll, expense management, time & attendance, etc)

Ben Admin landscape comprises pure-play and HCM players, several key competitors pursuing engagement capabilities

wex

Many Ben Admin competitors are also pursuing an engagement strategy…

		Pursuit of Engagement Strategy	Data Integrations / Marketplace	Analytics & Insights	Personalized Experiences	GTM Differentiation	Additional Commentary
Pure-Play Ben Admin	wex *BenefitExpress*	●	○	◐	○	BeneFITwise Premier (Powered by Reclaim Health)	● Further integrating CDH/COBRA into ben admin experience ● Launching AI powered benefit assistant and Benefitwise Premier in 2025 ● Brokers that know us, like us. However, we generally lack brand awareness with brokers/employers
	businessolver	●	◐	◐	◐	AI powered personalized experiences	● **Pursuing engagement strategy via AI powered experiences** ● Acquired Workterra to support down market (have not heavily invested) ● Strong service & broker referral channel. Similar to Bswift, but smaller
	bswift	●	◐	◐	◐	Ask Emma, API Gateway	● **Pursuing engagement strategy** (acquired Evive in ‘24) ● Significant product investment since spun off from Aetna to PE ● Heavy partner business with reseller + direct to employer + Health Plan
	EMPYREAN	●	◐	◐	●	Precision Benefits (Powered by Reclaim Health)	● **Focused on engagement strategy** (acq. Ensure in ‘23) ● Focus is primarily on engagement with a connected culture from hire to retire ● Significant employee experiences/communications throughout the year
	PLANSOURCE	◐	◐	◐	◐	Sales come 100% through channel	● **Focused on streamlining & automating benefits** ● “The Source” is their year-round community engagement for employees ● Offer direct through broker/carrier & reseller distribution (down to 250 lives)
	alight	◐	◐	○	◐	Alight Worklife product	● Engagement is focused on work/life balance with integration into Teams with personalized communication ● Sold off professional services & payroll outsourcing business in 2024 ● Significant leadership changes over last 12 months
	Benefitfocus	◐	◐	◐	◐	Distribute to both employers & Health Plans	● Since bought by Voya, **more focused on HSA/custodian business** ● Benefits Insights is claims-based analytics for brokers used to differentiate with employers ● For Health Plans, offer a quote-to-bill full platform (Connecture acquisition)
	employee NAVIGATOR	○	●	◐	○	Inexpensive/ Broker self implement tool	● Acquired main competitor (Ease) in 2023 ● **Primarily focused on data accuracy & exchange** ● Most revenue is made off marketplace partners vs. subscription

Capability Legend: ○ ***Do not offer/lagging*** ◐ ***Parity*** ● ***Market leading***

In addition to HCM companies

HCM ‘All in One’

	Pursuit of Engagement Strategy	Data Integrations / Marketplace	Analytics & Insights	Personalized Experiences	GTM Differentiation	Additional Commentary
ADP	◐	●	◐	◐	Marketplace + full market segmentation solutions	● Compete directly with brokers ● Largest Marketplace with hundreds of pre-built apps/heavy partner business
workday.	●	◐	◐	◐	Illuminate Launch in 2024, AI powered HR recommendation	● Recent acquisition of HiredSource bolsters applicant tracking functionality ● Very customizable, expensive to implement
dayforce	◐	◐	●	◐	Data & driving business insights	● Limited channel distribution, primarily direct to employer ● Recent purchase of Eloomi makes a more robust learning management system
UKG	◐	◐	◐	○	Strongest in Time & Attendance	● White label Plansource as Ben Admin + proprietary product ● Investing heavy in AI use cases now (per HR Tech Keynote)
paylocity	●	◐	●	◐	Modern Workforce Index scoring	● Recent acquisition of CloudSnap allows for modern API platform; heavy recent investment in integrations ● With their community product, focuses on connection
isolved	●	◐	◐	◐	Vertical specific use cases	● Each product line operates as their own P&L ● Ability to white label payroll to brokers/others for distribution
PAYCHEX	◐	◐	◐	○	Scale & full market segmentation coverage	● Compete directly with brokers ● Buying up UKG service bureaus as growth lever
paycom	●	○	◐	○	Beti product	● Known for Beti, which allows employees to run their own payroll ● Do not integrate with other HR solutions
Paycor	◐	◐	◐	○	Expertise & referral channels	● White label Bswift for their Ben Admin ● Have struggled with differentiation since IPO in 2021
gusto	○	◐	◐	○	Automation w/ slick UI	● Newer market entrant since 2012, focus on micro end of market ● Supports 1099 workers in addition to W2
RIPPLING	○	◐	◐	○	HCM + IT solutions	● Newer entrant since 2016 by former Zenefits founder ● Expand beyond HCM to all spend, speaking further to CFO/CTO buyers

Capability Legend: ○ ***Do not offer/lagging*** ◐ ***Parity*** ● ***Market leading***

Appendix

HCM Overview | Range of point solution and holistic (or broader) platform players in market

	Employee Payroll	Performance Management	Time + Attendance	Applicant Tracking + Onboarding	Learning + Development	Employee Rewards & Recognition
Description	Establish and automate pay, track and manage bonuses	Goal-setting, leadership planning, team and organizational mgmt	Track hours, schedule shifts, manage time off	Find, attract, & hire, and acclimate new employees	Train, upskill employees and manage their growth	Employee recognition, rewards granting and exchange
Capabilities	Payroll management, direct deposit, W2 generation, bonus tracking & payment	Goal-setting Performance reviews Succession planning	Time tracking Attendance + leave Shift scheduling	Job posting Interview scheduling Offer management Onboarding content	Education programs Skill workshops Elearning content & trainings	Rewards exchange portal Recognition board
Point solutions	onpay SurePayroll By Paychex	GoCo Culture Amp	PayClock TSHEETS	greenhouse Jobvite TALMUNDO icims ClearCo bob	cornerstone HALOGEN SOFTWARE CINODE	workhuman kudos nectar

Platform players
(not exhaustive)

ORACLE HUMAN CAPITAL MANAGEMENT, workday, isolved, Namely, paycom, ADP Workforce Now, Personio The People Operating System, PAYCHEX, Proliant, SAP SuccessFactors, UKG Our purpose is people, Zimyo, bambooHR, CERIDIAN Dayforce, RIPPLING, Paycor, paylocity Forward Together, deel., ZINGHR LET'S TALK OUTCOMES, gusto

For engagement strategy, we should partner / acquire where we can't build in < 3 years given pace of innovation in market

Likely build ← *Build, Partner, and/or acquire to accelerate* → *Req's acquisition*

	Competitive core Ben Admin	Proactive, customized comms	Analytics + Insights	Data Platform + Integration Layer	Scale customer base	Able to serve down-market
Rationale	Need strong "anchor" offering on which to build engagement	Must enhance current comms to better engage users (e.g., advocacy, goals)	Strongest value prop from engagement; drives outcomes for employers + employees	Critical enabler of insights, customer engagement, and 3rd party marketplace	Required to attract partners, increase our distribution, and enhance value prop	Best fit for WEX CDH; ability to upsell and influence behavior and buying decisions
Build Timeline	**~1-2 years** Priority to deliver improvements to platform in 2025 + 2026	**~1-2 years** Strong foundational capabilities here to build on	Degree of build here required, but need to devote resources to core first before building here; may be behind market under this timeline		**~5+ years** Most aggressive assumptions still result in ~3% share by 2029	**~3+ years** May not be feasible; if possible, would be lengthy commitment
Est. Financial Cost	**$$**$$$ Significant portion of CapEx in near-term, plus ongoing investment required	**$**$$$$ On roadmap; lower lift compared to other investments	**$$**$$$ Able to build on consumer pathways foundation	**$$$**$$ Comparatively cost-intensive to build accessible data platform	**$$$**$$ Likely requires outsized investment in GTM + sales	**$$$$**$ If feasible, requires significant overhaul of platform

Even most aggressive view of organic growth, upsell, and new business results in subscale Ben Admin platform

Even under **"maximum" opportunity** growth scenario for Ben Admin...

- Material improvement in platform reception / NPS
- Substantial increase in upsell rate (esp. HSA)
- Win outsized share of new business up for RFP (3%)

...by 2029, Ben Admin would be materially larger but **still subscale**, to enable our engagement platform intent

~$230M in 2029 revenue

~3% 2029 share of Ben Admin market

8%+ Share of likely required to enable engagement platform

Routes for achieving scale:

	1	2	3
	Rely on organic growth from MBE platform serving 1,000+ employee market	Invest in BenefitConnect to open our market down to 200+ employees	Acquire scale through M&A
Timeline to sufficient scale	***8+ years***	***TBD***	***1-3 years***

Ben Admin acquisition would drive a benefits-focused engagement platform…

Benefits-focused engagement platform…

Connecting our customers to curated experiences that enable more confident benefits decisions

Engagement Capability

AI-Driven Applications
(i.e. BeneFIT wise Premier, Benefit Assistant, Consumer Pathways)

Integration Marketplace | Analytics & Insights | Intelligent Experience Engine

Single login & UI across products

CDH | Ben Admin | COBRA | 3rd Party Data

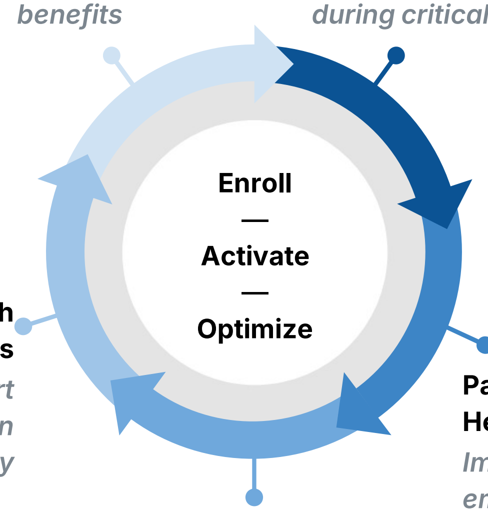
Data Platform

…drives better awareness + outcomes

Open Enrollment
Connect employees with the right benefits

Navigating Important Moments
Support employees during critical life events

Managing Health Conditions
Support employees on healthcare journey



Paying for Healthcare
Improve employees ability to pay and save for healthcare OOP expenses

Awareness & Education
Drive awareness and use of benefits w/ timely, personalized messaging